

Annexure- B

INVESTOR CHARTER FOR MUTUAL FUNDS

VISION

- ✓ To develop the Indian Mutual Fund Industry and bring a high degree of professionalism transparency and ethics by enacting regulations to govern the functioning of mutual funds in order to enhance and maintain standards to protect and promote the interests of unit holders of mutual funds.

MISSION

- ✓ To support the development of a vibrant, transparent, ethical and globally competitive asset management industry.
- ✓ To enact and enforce rules and regulations that promote the maintenance of high professional and ethical standards in all areas of operation of the mutual fund industry.
- ✓ To work closely with the mutual fund industry in order to recommend and promote good business practices and a code of conduct to be followed by all asset management companies engaged in the activities of investment management in the best interests of unitholders / investors.
- ✓ To recommend standardized operational processes to be followed by the Mutual Fund industry for the convenience and benefit of the investors.
- ✓ To undertake nationwide investor awareness programs, so as to inform and educate existing and prospective investors about mutual funds as an asset class and to educate the public about the concept and working of mutual funds.
- ✓ To protect the interest of investors/unit holders.

DESCRIPTION OF ACTIVITIES / BUSINESS OF THE ENTITY

- ✓ To offer investment opportunities to the investors through various schemes.
- ✓ To pool money by issuing units to the investors at the applicable Net Asset Value (NAV).
- ✓ Deploy the monies pooled from investors in various securities and manage the portfolio in accordance with objectives as disclosed in offer document and in compliance with all applicable regulations.
- ✓ Disclose various information including NAV on daily basis, Risk-o-meter of schemes, portfolio of the schemes, performance of the schemes, annual report or abridged annual report etc.
- ✓ Pay redemption proceeds, dividends etc. to the investors.
- ✓ Process investor's financial and non – financial transactions / service requests.

SERVICES PROVIDED FOR INVESTORS

Non-Financial Transaction		
Sr. no.	Description of Service / Activity	Time taken for providing service
1	Providing Consolidated Account Statement (CAS) for each calendar month	by 15 th of succeeding month
2	Providing Consolidated Account Statement (CAS) for the half year	By 21 st of succeeding month
3	Request for Dematerialization of units	2 Days *
Financial Transactions (Commercial Transactions)		
Sr. no.	Description of Service / Activity	Time taken for providing service*
1	Pay-out of redemption proceeds	3 working days – for all schemes other than below 5 working days – for schemes investing atleast 80% of total assets in permissible overseas investments viz. HDFC Developed World Indexes Fund of Funds Such other timeline as may be prescribed by AMFI in case of exceptional circumstances notified by it.
2	Pay-out of dividend from the record date	7 working days Such other timeline as may be prescribed by AMFI in case of exceptional circumstances notified by it.
3	Pay-out of proceeds on maturity of a close-ended scheme	3 working days Such other timeline as may be prescribed by AMFI in case of exceptional circumstances notified by it.
4	Issue of statement of accounts specifying the number of units allotted or issue units in the dematerialized form	5 days from the date of closure of the initial subscription list or from the date of receipt of the application
5	Refund of subscription Money in case of New Fund Offer	5 working days from the date of closure of the initial subscription list
Complaints/Requests		
Sr. no.	Description of Service / Activity	Time taken for providing service*
1	Submission of ATR to SEBI in respect of complaint received from investor through SCORES	21 days
Disclosure / Reports		

Sr. no.	Description of Service / Activity	Time taken for providing service
1	Intimation regarding change in TER of schemes	3 days in advance of TER effective date
2	Intimation regarding change in Fundamental Attributes of schemes (Exit Window)	30 days prior to the effective date of Fundamental Attribute change
3	Intimation regarding Merger of schemes	30 days prior to the effective date of Merger
4	Intimation regarding Conversion of Close Ended Scheme to Open Ended Scheme	30 days prior to the effective date of conversion
5	Disclosure of Daily NAV other than FOF Schemes	Daily by 11 pm
6	Disclosure of Daily NAV of FOF Schemes	T+1 by 10 am
7	Disclosure of Fortnightly Portfolio of Schemes (Debt Schemes)	within 5 calendar days.
8	Disclosure of Monthly Portfolio of Schemes	within 10 calendar days
9	Disclosure of half Yearly Portfolio of Schemes	within 10 calendar days
10	Disclosure of Risk-o-meter	by 10th of calendar day
11	Disclosure of TER of scheme	Every day
12	Disclosure of Annual report of Schemes / abridged scheme wise Annual Report	Every year before July 31
13	Disclosure of Annual report of AMC	Within 4 months from the end of the financial year
14	Disclosure of half Yearly Unaudited Financials	within 1 month
15	Disclosure of notice in respect of Dividend declaration	2 working days prior to Record Date declaration of dividend
16	Disclosure of Complaints redressal report	2 months of the close of the financial year
17	Disclosure of Asset Under Management	7 days from the end of the month
18	Disclosure of transactions in debt and money market securities	15 days from each transaction day
19	Disclosure of half yearly updated scheme information document	1 month from the end of the half-year
20	Disclosure of half yearly updated Key Information Memorandum	1 month from the end of the half-year
21	Disclosure of statement of additional information	3 months from end of financial year
22	Disclosure of Executive Remuneration	1 month from the end of financial year.
23	Details of Complaint report	7 days from the end of the month

Notes:

1. * All the above-mentioned time taken for providing service (Financial & Non-Financial) will be subject to receipt of complete documentation/information from the investor.
2. Day refers to working day unless otherwise specified.
3. The Asset Management Companies which fail to meet the stipulated timelines maybe liable for suitable action as deemed fit in terms of SEBI Act, 1992 or regulations framed thereunder.

GRIEVANCE REDRESSAL MECHANISM FOR INVESTORS

1. In case of any grievance / complaint, an investor should approach the concerned Mutual Fund / Investor Service Centre of the Mutual Fund. If the complaint remains unresolved, the investor may write to the designated Investor Relations Officer of the mutual fund. The name of the Investor Relations Officer / contact person is mentioned in the Scheme Information Document (SID) of the mutual fund scheme, and also on the website of the concerned mutual fund, whom one may approach / write to in case of any query, complaints or grievance.
2. If the investor's complaint is not redressed satisfactorily, one may lodge a complaint with SEBI on SEBI's portal, named, 'SCORES', which is a centralized web-based complaints redress system. SEBI takes up the complaints registered via SCORES (<https://scores.gov.in/scores/Welcome.html>) with the concerned mutual fund / intermediary for timely redressal. SCORES facilitates tracking the status of the complaint.
3. Investors may send their physical complaints to: Office of Investor Assistance and Education, Securities and Exchange Board of India, SEBI Bhavan. Plot No. C4-A, 'G' Block, Bandra-Kurla Complex, Bandra (E), Mumbai - 400 051

DO's and DON'Ts FOR INVESTORS

Do's

1. Check registration status of the Mutual Fund on SEBI website before transacting with them.
2. Read all Scheme related documents and understand the scheme features and the risks involved and suitability of the scheme to the investor's risk profile.
3. Provide and keep updated KYC details including address, tax status, residency, and other key information such as PAN & bank account details.
4. Provide own email address and mobile number and to promptly notify changes to this information, if any.
5. Check Account Statement & Common Account Statements for discrepancy, if any and promptly bring any such discrepancies to the notice of the Asset Management Company

6. Read communications / notices / addendums / press releases, etc. sent / or published by the mutual fund via newspapers, email, etc.
7. Providing nomination/ declaration for opting out is mandatory since 1st October 2022.
8. Choose the plan for investments i.e. Direct Plan or Regular Plan.
9. Invest through registered and regulated entities
10. Keep confidential critical information such as user ID, password, etc.
11. Invest by issuing payments in the name of the Mutual fund / scheme only and not in the name of any other entity.

Don'ts

1. Do not invest based on speculation, rumor or informal advice.
2. Do not fall for the promise of indicative or exorbitant or assured returns.
3. Do not issue blank cheques or blank signed transaction instructions.
4. Do not use third-party bank accounts for fund flows for subscription or redemption of units.

RIGHTS OF INVESTORS

1. Right to receive information and details about the scheme including about its investment philosophy, risk profile, portfolio holdings, fees, charges and expenses and such other information as may be required under SEBI regulations to enable investors to make an informed decision about investing in a scheme, prior to making any such investment.
2. Right to timely receipt of account statement evidencing a transaction as specified in the SEBI Mutual Funds Regulations, or to receive such statements on request.
3. Right to receive Consolidated Account Statement (CAS) at a periodic frequency as specified by SEBI.
4. Right to timely disclosure of daily Net Asset Values (NAV), Portfolio and Performance of each scheme including scheme's AUM, investment objective, expense ratios on mutual fund website.
5. Right to receive Annual report / abridged annual report of the scheme(s) invested in,

6. Right to timely receipt of redemption proceeds / dividend payments / refunds, as applicable.
7. Right to be notified about any change in the fundamental attributes (features) of a mutual fund scheme in which the investor has investments and to be provided a right to exit the scheme without cost, if so desired, as a result of the fundamental attribute change.
8. Right to be informed about such disclosures which may have a material bearing on their investments in mutual fund schemes.
9. Right to privacy of information in accordance with the applicable laws of the land.
10. Right to security of, and access to, information provided to Asset Management Companies and their service providers in relation to investments in mutual funds. Right to have such information corrected and receive confirmation of such correction.
11. Right to information about how complaints are handled and can be escalated in the event investors are not satisfied with the resolution provided.
12. Right to timely redressal of grievances and complaints within the timelines specified by regulations and the right to escalate complaint not resolved satisfactorily to the Investor Grievance Officer of the respective Asset Management Company.
13. Right to escalate unresolved complaints to SEBI via the SCORES portal.

RESPONSIBILITIES OF INVESTORS

1. To check registration status of the Mutual Fund on SEBI website before transacting with them.
2. To read all Scheme related documents and understand the scheme features and the risks involved and suitability of the scheme to the investor's risk profile.
3. To provide and keep updated KYC details including address, tax status, residency, and other key information such as PAN & bank account details.
4. To provide own email address and mobile number and to promptly notify changes to this information, if any.
5. To check Account Statement & Consolidated Account Statements for discrepancy, if any and promptly bring any such discrepancies to the notice of the Asset Management Company

6. To read communications / notices / addendums / press releases, etc. sent / or published by the mutual fund via newspapers, email, etc.
7. Providing nomination/ declaration for opting out is mandatory since 1st October 2022.
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9. To invest through registered and regulated entities and not to invest based on speculation, rumor or informal advice.
10. To keep confidential critical information such as user ID, password, etc.
11. To invest by issuing payments in the name of the Mutual fund / scheme only and not in the name of any other entity.
12. To protect oneself by not falling for the promise of indicative or exorbitant or assured returns.
13. To protect oneself by not issuing blank cheques or blank signed transaction instructions.
14. To avoid using third-party bank accounts for fund flows for subscription or redemption of units.
